

Investment and economic growth in Yugoslavia and its Successor States

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Motivations

- My research: linked to my background → Yugoslavia & its successor states, comparative economic systems (self-management, other forms of economic democracy...)
- Today's lecture: some main topics I have worked on
→ **Investment and economic growth in former Yugoslavia & its successor states**
- Start from the beginning → 1st (important) study:
Investment and Property Rights in Yugoslavia (1986 paper, CUP 1992 book)

Contents

- 1. Investment and economic growth in socialist Yugoslavia
- 2. Transition to capitalism in the Yugoslav successor states
- 3. Impact of systemic change on investment and economic growth
- 4. Concluding remarks

1. Investment and economic growth in Yugoslavia

Socialist Federal Republic of Yugoslavia

→ *A socialist country*

- Strong influence of Marxist ideology, socialist principles (solidarity, equality), labour theory of value → Socially planned regulation of economy
- Policies to prevent the deepening of social inequalities, avoid greater wage differentials

→ *A developing country*

- Investment fundamental for economic development, following Marx, traditional growth models (Harrod-Domar, Solow), economic development theories (Rosenstein-Rodan, Hirschman, Chenery)
- Well-known to Yugoslav policy-makers → Policies to secure high investment rates, pursuing industrialisation, rapid economic growth, increasing living standards ...

... Investment and economic growth in Yugoslavia

- **Country with a unique system of *workers' self-management***, specific to SFRY
- Workers' participation in decision-making on enterprise policies (Workers councils)
- Inspired a huge literature on the labour-managed firm (LMF), influential still today
- Ward (1958), Domar (1966), Vanek (1970) ... (“Ward-Domar-Vanek” model)
- LMF will maximize income per worker → “Perverse” short-term supply response: contrary to the capitalist firm, when product demand increases, LMF will reduce employment and output
- + Inefficient use of capital, because of non-private property rights, tendency to underinvest (Pejovich 1969, Furubotn & Pejovich 1970 ..., Vanek 1971)

...Investment and economic growth in Yugoslavia

Pejovich (1969), Furubotn & Pejovich (1970...):

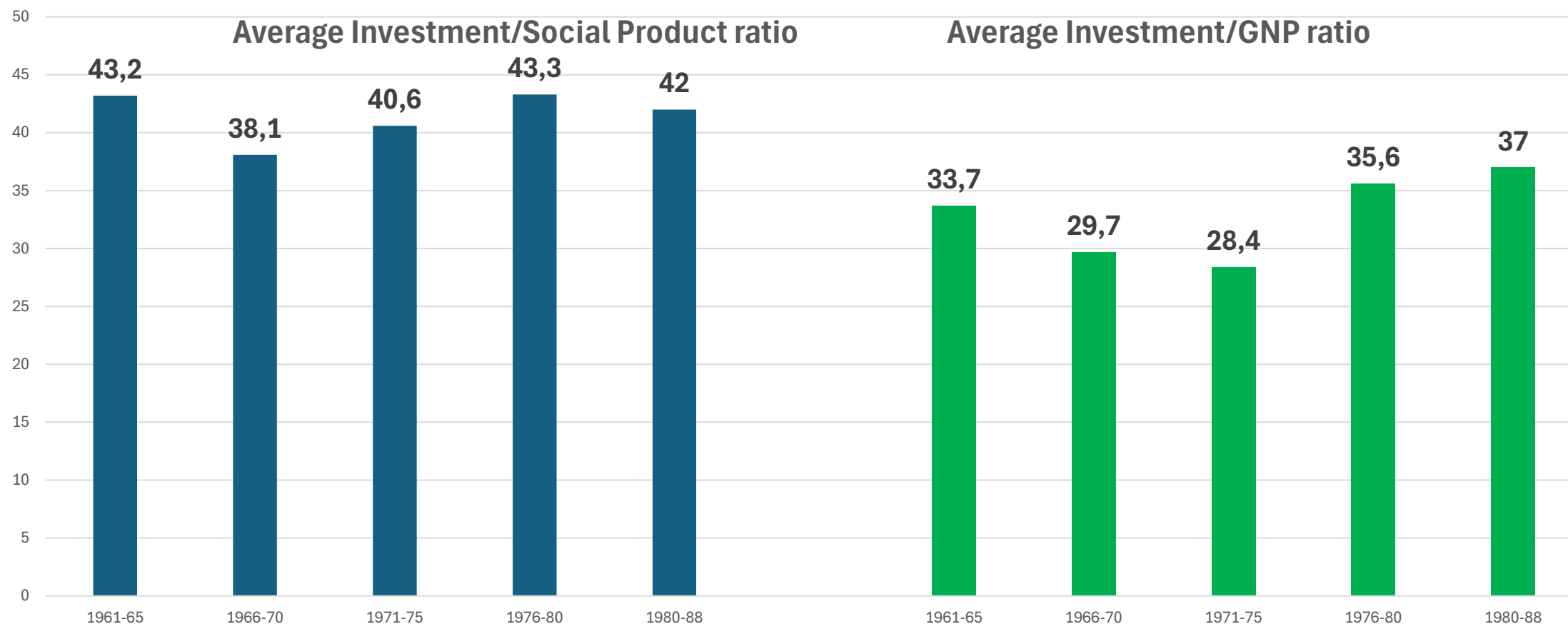
- Workers' in a LMF can chose between “owned” assets (savings in bank accounts) & “non-owned” assets (investment in the firm)
- When workers do not have full property rights over the firm’s assets, they cannot recover the principal of their investment if/when they leave the firm
- Investing in individual savings accounts in a bank, on the contrary, ensures the recovery of both the principal and interest → Workers will chose “owned” assets, since they can recover both the principal and interest

Jaroslav Vanek (1971): A LMF will be reluctant to self-finance investment from retained earnings (due to the collective nature of investment), but this will not be the case if investment is externally financed

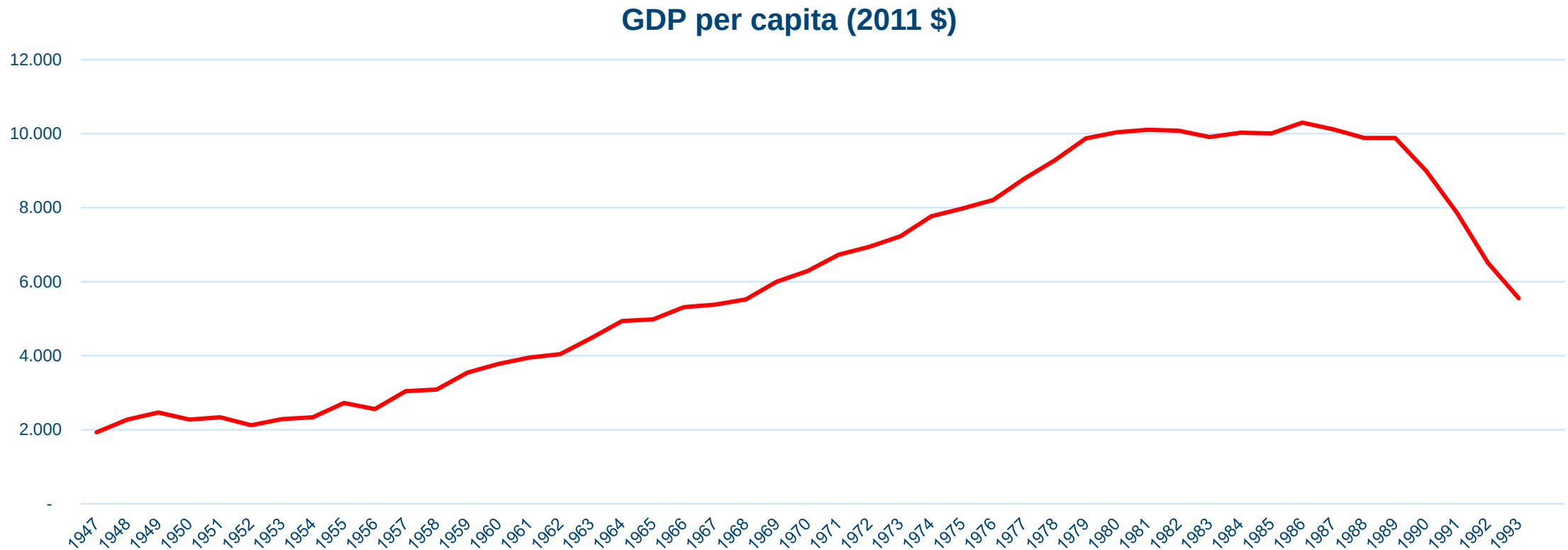
... Investment and economic growth in Yugoslavia

- The LMF will “underinvest”, due to:
 - (1) *non-private property rights* (“social” property)
 - (2) *workers’ self-management* (participation of workers in decision-making)
 - Workers will distribute higher wages, rather than invest in the firm
- ***These theories contradict empirical findings from Yugoslavia:***
 - SFRY has had very high investment rates & high GDP growth rates (until 1980s)

SFRY: High investment rates (official statistics, World Bank) (Uvalić 1992)



SFRY: Impressive development until 1980s, six-fold increase in GDP/cap (strong fall in GDP/cap. primarily in early 1990s) (Source: Maddison database, 2022)



Investment and economic growth in Yugoslavia

Furubotn & Pejovich's theory

Hypothetical labour-managed economy operating in a ***free market environment*** (not the case of Yugoslavia)

- Variables taken into account did not reflect Yugoslav reality
- **i**: interest rates on banking loans, savings accounts - negative in real terms
- **r**: investments in capital stock brought high returns
- **T**: workers' time horizon typically long, due to life-long employment & low labour turnover

Investment and economic growth in Yugoslavia

More realistic representations of the Yugoslav firm → *Important role of the state:*

- **Horvat (1967, 1970):** Even during the most liberal period (second half of 1960s), firms had to respect regulations set by the political authorities (limited enterprises' autonomy)
- **Bartlett (1985):** Institutional arrangements (after 1974 → A network of bargaining procedures between firms & the state, as a way to internalize the conflict between capital and labour)
- **Prašnikar, Svejnar, Mihaljek, Prašnikar (1991, 1994):**
- Multiparty bargaining model of enterprise behaviour: managers, workers and government authorities as decision-makers, jointly determine enterprise policies
- Survey of Yugoslav enterprises → Predictions of the Ward-Domar-Vanek model are not consistent with evidence from Yugoslavia
- **Uvalić (1992):** Socialist features of the economy remained dominant in Yugoslavia, in line with Kornai: soft-budget constraints, “over-investment” drive, state paternalism

Investment and economic growth in Yugoslavia

Role of workers' self-management?

- Stronger incentives & less conflictual relations within firms (Horvat 1982, Bartlett, 1985; Uvalić, 1992)
- A means for providing checks and balances on managerial power (Bajt 1986; Mencinger 2000)
- Secured higher popular satisfaction, greater acceptance of economic and political regime than elsewhere in Eastern Europe
- ***Break-up of SFRY*** → Often attributed to deficiencies of the self-management system, even today ...

(Causes of disintegration: much more complex...)

2. Transition to capitalism in Yugoslav successor states

- **SFRY's break-up (mid-1991):** Transition-related economic reforms (1988–89) discontinued, relaunched according to priorities of the new independent states
- **1991:** Yugoslav successor states had *similar institutional features* → Pursued a *model of a liberal market economy* → privatisation, liberalisation, deregulation ...
- Socialist ideology abandoned, but with distinct features
- *Key determinants of differences in transition paths*
- (1) *Timing & speed* of systemic change
- (2) *Contents of reforms*

Transition to capitalism in Yugoslav successor states

(1) Timing & speed of systemic change

- ***Slovenia:*** Gradualist strategy, yet faster than other successor states of Yugoslavia
- ***Facilitating factors***
- Excellent starting conditions: most developed country in Eastern Europe, solid institutions, developed industry, strong export orientation (Elan, Gorenje ...)
- Not dependent on international financial institutions (IMF), on FDI (explicit choice), on foreign banks capital (postponed privatization of most banks ...)
- Avoided longer political instability, political consensus on many issues, no major ethnic divisions
- Association Agreement with EU (1996) → Gradual integration with EU, EU member state (2004)

Transition to capitalism in Yugoslav successor states

Other successor states: Economic reforms slower due to political problems & other priorities (→ later EU support & integration with EU)

- ***Croatia, Macedonia:*** Key political issues initially resolved somewhat earlier, facilitating faster progress with some economic reforms
- ***Bosnia and Herzegovina:*** 4-year war, 30 years later still faces deeply rooted constitutional problems (dysfunctional state)
- ***FR Yugoslavia (Serbia, Montenegro, Kosovo):*** High political & economic instability in 1990s, international sanctions (1992-1996, 1997-98), NATO bombing (1999)
- Radical reforms of economic system became top government priority only after 2001 (Uvalić 2010, Serbia's Transition)
- Continued political instability → Further disintegration: Montenegro/Serbia split (2006); Kosovo independence (2008); still today unresolved political issues

Transition to capitalism in Yugoslav successor states

(2) Contents of reforms → Varieties of capitalism (Bartlett, 2007)

- **Slovenia:** Institutional features of previous model taken into account
- ***Self-management***
 - System of co-determination (1993 Law)
 - Profit-sharing: workers' bonuses linked to profits (frequent practice)
 - Privatization: partly based on the insiders' model → Enabled "red" managers to remain in charge of firms (Mencinger 2017)
- ***Socio-economic model:***
 - Maintained a strong welfare state: high public expenditure (health care, pensions, education), high workers' unionization & collective bargaining coverage, powerful trade unions, strong social policy measures (social benefits), maintained the tradition of social inclusion
 - *Continuity* ... "Coordinated market economy"

Transition to capitalism in Yugoslav successor states

Systemic change in other Yugoslav successor states: More radical break with the past

- ***Self-management:*** Workers' self-management rights abolished, ignoring residuals of the past system
- Initial privatization laws took into account the heritage of self-management (insiders' model, to get workers' support), but later laws: emphasis on method of sales, attracting FDI...
- Failure to establish ***adequate government institutions*** that would supervise more closely the privatization process, provide a proper valuation of enterprise assets ...

→ Determined very different patterns of redistribution of social property & of economic and political power within societies, new owners often connected to ruling parties

- ***Socio-economic model:*** Reduction of the welfare state (private providers of services), esp. in Kosovo, Macedonia, weak trade unions, only formal social dialogue...
- Today: not even workers' basic rights are sufficiently respected or guaranteed (working hours, minimum wages, daily breaks, general working conditions) → "Liberal market economy"

Transition to capitalism in Yugoslav successor states

Today: most Yugoslav successor states → Many institutional weaknesses

(Bartlett 2007, 2021; Keil 2018; Bieber 2018, 2020; Uvalić, 2010, 2018 ...)

- ***State capture***: “public power exercised mainly for private gains”
- Close connections between ***political & economic elites***
- ***Clientelism***: meritocracy replaced by various particularistic personal connections
- ***Political backsliding***: return to authoritarian regimes
- ***Strong control of media***, biased information
- ***Rising corruption***
- ***Arbitrary application of rule of law***, inefficient judiciary

→ Liberalist policies have neglected **important functions of the state & state agencies**, permitting the emergence of many features of unregulated, crony or “laissez-faire” capitalism

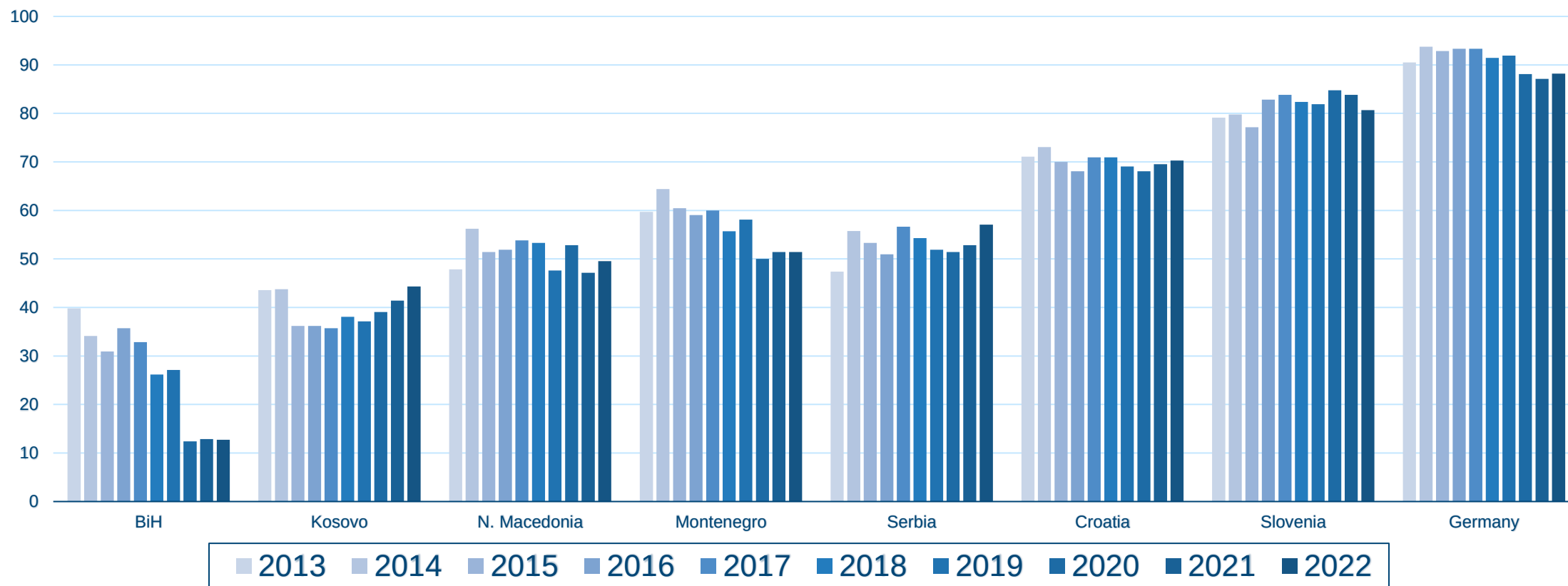
Transition to capitalism in Yugoslav successor states

These problems are **more accentuated in most Yugoslav successor states** than in other post-transition countries, because of the **heritage of the 1990s**:

- After transition started in SFRY in 1988-89, systemic change proceeded under **very specific conditions** during the 1990s:
- Wars, international sanctions (isolation), hyperinflation, shortages → Stimulated the creation of illegal trade, criminal networks, corruption, “war profiteering”, often by individuals close to the economic and political elites & Privatisation of some of the most important enterprises
→ Facilitated the emergence of tycoons that later were able to take over parts of the economy, control the media and strongly influence political processes
- These features of unregulated capitalism have proved very difficult to dismantle in countries with weak government institutions
- **Weak regulatory functions of the state:** No efficient redistributive policies, weak tax-collection capacity (e.g. property tax) → Strong socio-economic differentiation
- **World Bank Governance indicators** (last decade, percentile ranks) →

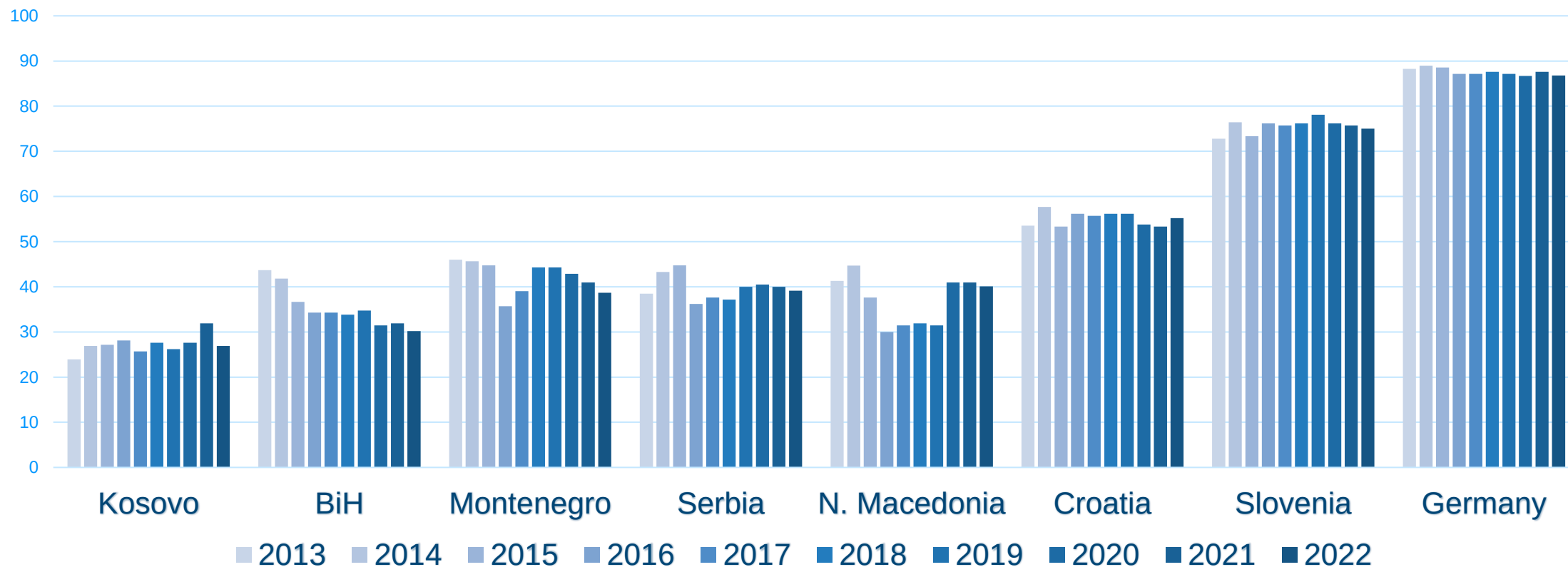
Government effectiveness

Major differences: Slovenia (close to Germany) ... BiH (deterioration)



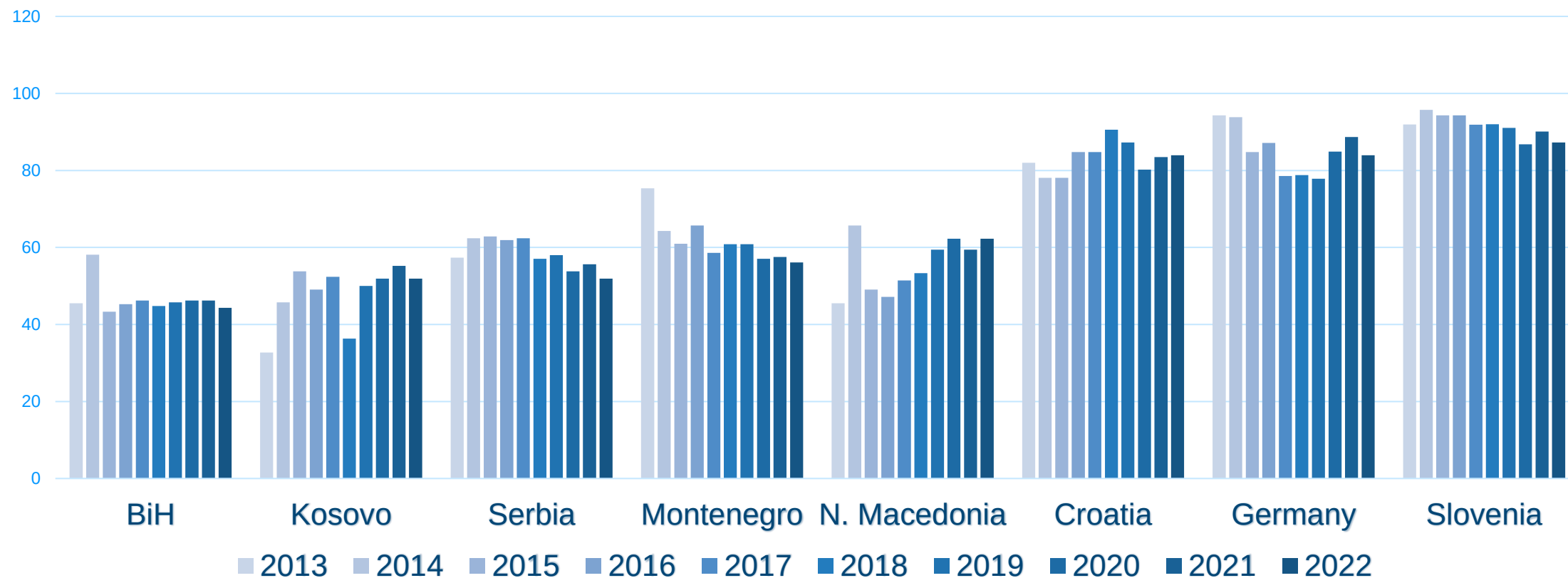
Rule of law

Slovenia (close to Germany) ... Kosovo (1/3 of Germany's rank)



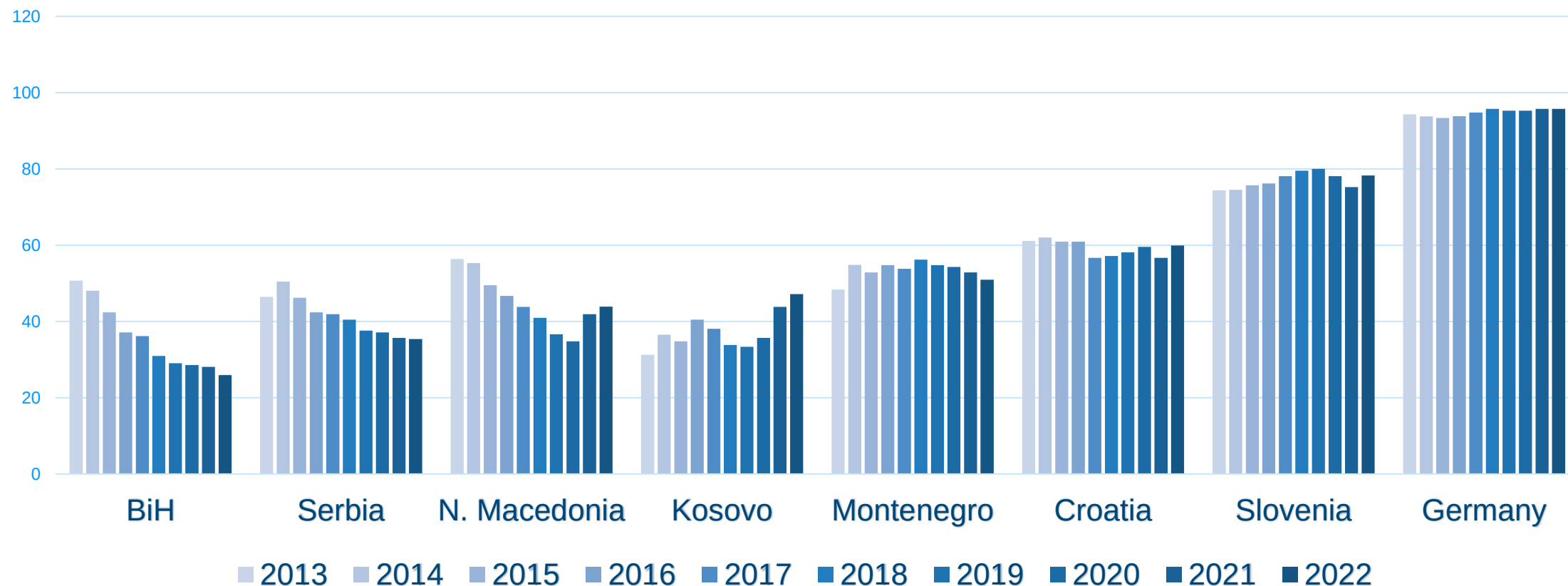
Political stability & absence of violence

Huge differences! Slovenia most stable



Control of corruption

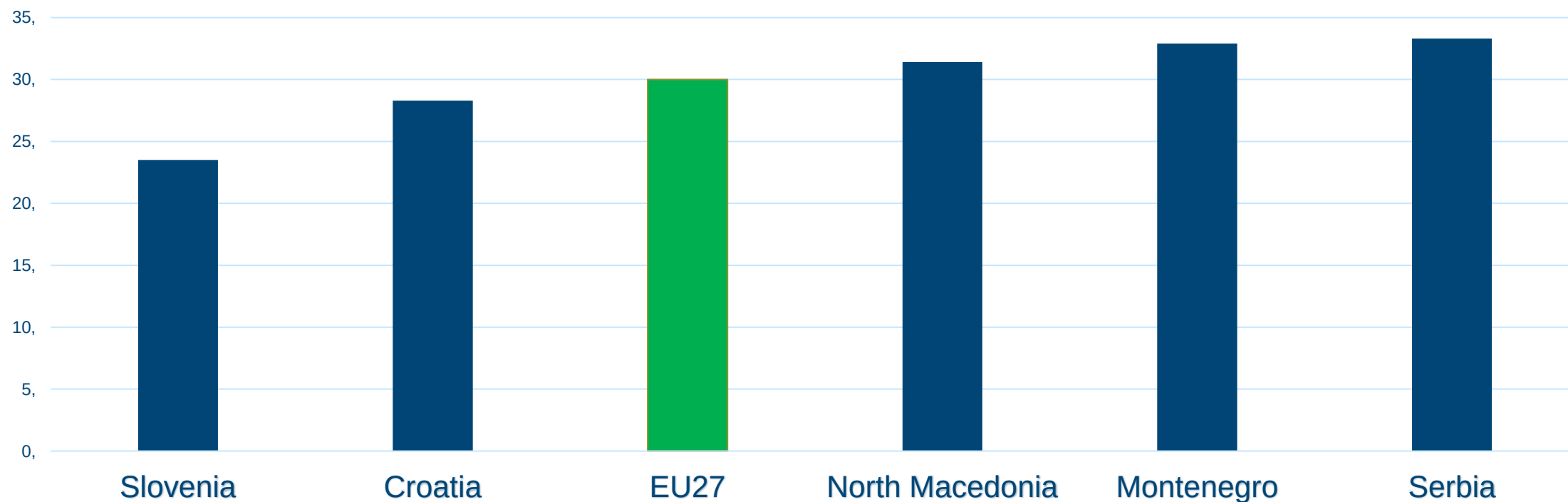
Slovenia followed by Croatia, Montenegro... Deterioration in BiH, Serbia, Macedonia



Income inequality (2020)

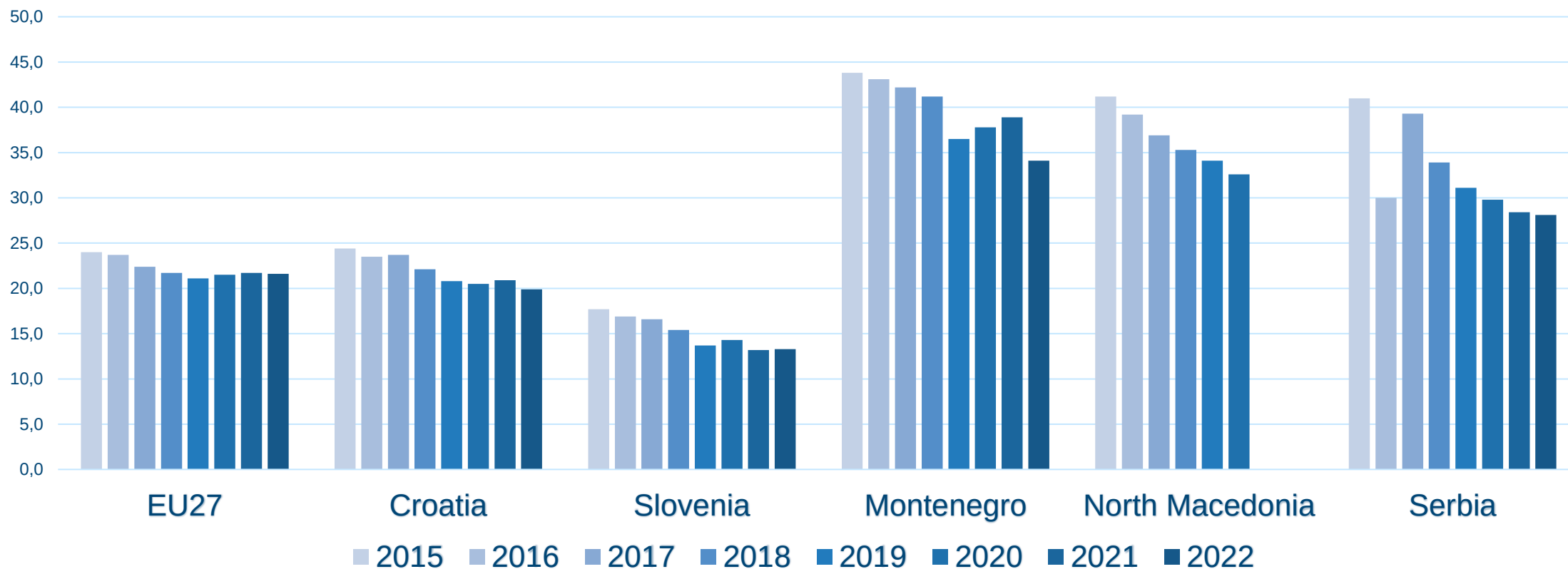
Slovenia & Croatia Vs. Other countries

Gini coefficient 2020



Persons at risk of poverty or social exclusion

Differences even greater! Croatia and Slovenia (less than EU avr.) Vs. Other countries



3. Impact of systemic change on investment & growth

Privatisation & transition-related reforms in Yugoslav successor states

→ Removal of main constraints on investment:

- (1) **Property rights**: no longer collective, but private (owners have full property rights)
- (2) **Decisions** on enterprise policies: no longer by workers, but by owners/shareholders or delegated to managers (workers: wage-earners)
- **Standard forms of enterprise**: Transformation of self-managed firms into conventional enterprises & application of standard models of work organization, remuneration systems and employment contracts
- **Employment contracts**:
 - a fixed wage payment per unit of time
 - no guaranteed employment tenure
 - employer's authority in the organization of labor & allocation of labor and other resources
- Owner-capitalist decides entirely on reinvestment of profits
- *Alternatives to the conventional enterprise have not been explored, let alone adopted*

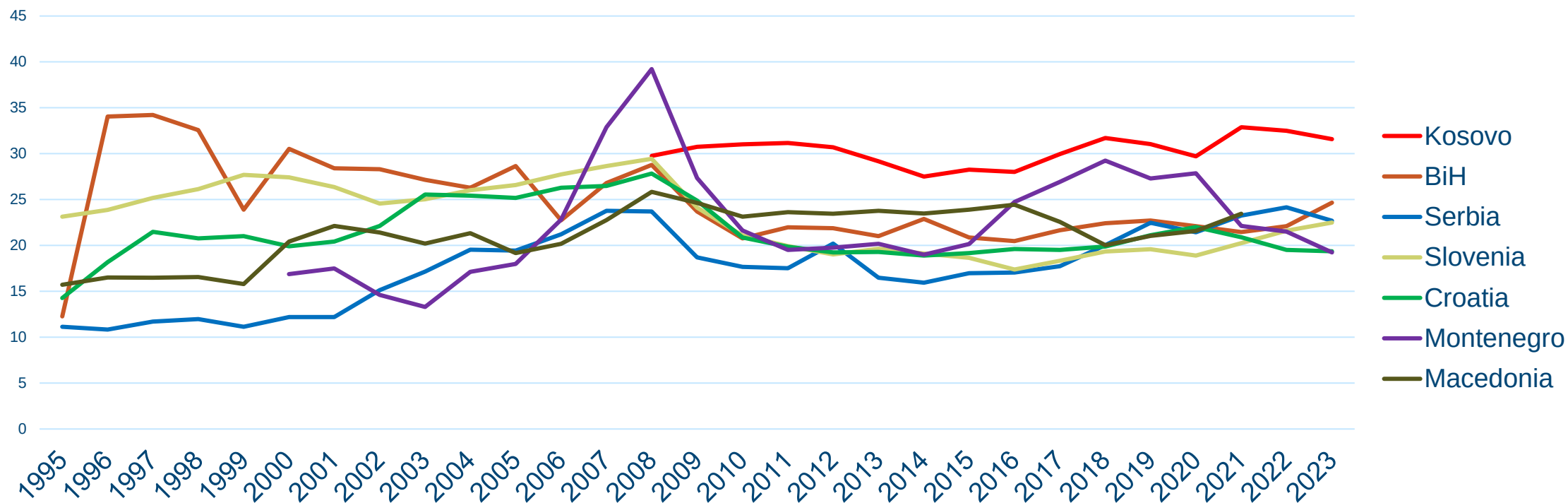
... Impact of systemic change on investment and growth

Private property & standard forms of enterprise → Insufficient to increase enterprise efficiency (as elsewhere in Central Eastern Europe)

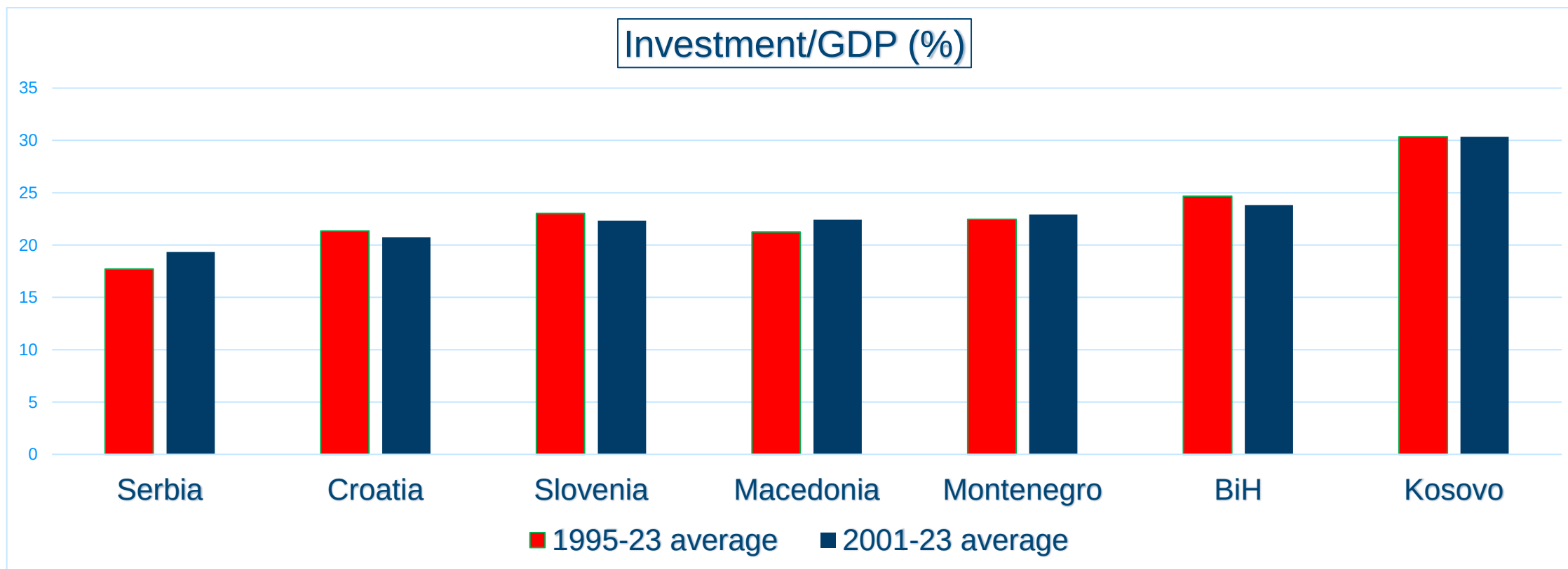
- **Privatisation:** Many problems – asset stripping, non-transparent deals, no efficient mechanisms of corporate governance, lack of protection of minority shareholders' rights, broken contracts due to non-respect of obligations by new owners ...
- New private owners: typically *short* time horizons
- **Strong reliance on external capital:** Supplement to low national savings & investment → **Economic restructuring & investment** influenced by multinational companies, donors' financial assistance
- **Investment rates** during last decades not very impressive (exc. Kosovo): below or around 25% of GDP, below 30% recorded by emerging market economies at similar levels of development (Kekić, 2018)

Investment/GDP ratios in Yugoslav successor states (1995-2023): generally lower than before 1991 (exc. Kosovo)

Gross fixed capital formation/GDP (%)



Average investment/GDP ratios for the whole period (1995-2023), similar to those in 2001-2023



... impact on investment and growth

More problematic: quality of investment (heavy reliance on FDI)

Specific features of FDI in most successor states

- **Late arrival:** Only after 2001 (exc. Croatia), when many industries had been devastated by physical destruction (wars), or lack of new investments & modernisation (delayed privatisations)
- **Structure of FDI:** Relatively little in manufacturing, mostly into (more profitable) non-tradeable service sectors: retail and wholesale trade, banking, telecommunications, real estate (sectors that serve mainly the local market)
- **By 2010:** FDI inward stock in services → 51% - Macedonia, 73% - Serbia (% total)
- **Recent structure of FDI:** Very similar, manufacturing sector attracts around 30-35% (or less) of total FDI, dominant share of FDI in services (esp. financial & insurance services, wholesale & retail trade, real estate) → Sectors chosen by multinational companies, not necessarily in line with national priorities!

... impact on investment and growth

- **Mencinger's warnings** about the unfounded glorification of positive spillovers effects of FDI in CEE countries (in 2003!)
- Greenfield FDI contributes to capital formation, but acquisitions through privatisations cannot be automatically considered as investment in real assets → Proceeds from sales might be spent on current consumption and imports, in which case FDI would not directly contribute to an increase of productive capacities and to economic growth, but to an increasing current account deficits developing into foreign debt ...
- Due to the concentration of FDI in trade and finance, multinational companies have contributed more to imports than to exports → foreign companies often purchase raw materials and spare parts from foreign, rather than local suppliers
- Recent BoP data confirm that the balance on primary income from FDI is most frequently negative
- Instead of increasing competition, large foreign companies often force small newly emerging domestic firms out of business

... impact on investment and growth

These features seem confirmed by more recent empirical findings

- ***Estrin and Uvalić (2016)***
 - No positive spillover effects of FDI in the manufacturing sector of 5 WB countries on any of the main performance indicators (value added, exports and employment)
 - On the contrary, negative effects were observed in some sectors, such as textiles
- ***Bartlett, Krasniqi, and Ahmetbasić (2019)***
 - Foreign firms indeed rely primarily on their home countries' suppliers for various inputs
 - North Macedonia & Serbia: the import content of exports from Special Economic Zones is extremely high - more than 80% - suggesting limited links between foreign and domestic firms ...

... impact on investment and growth

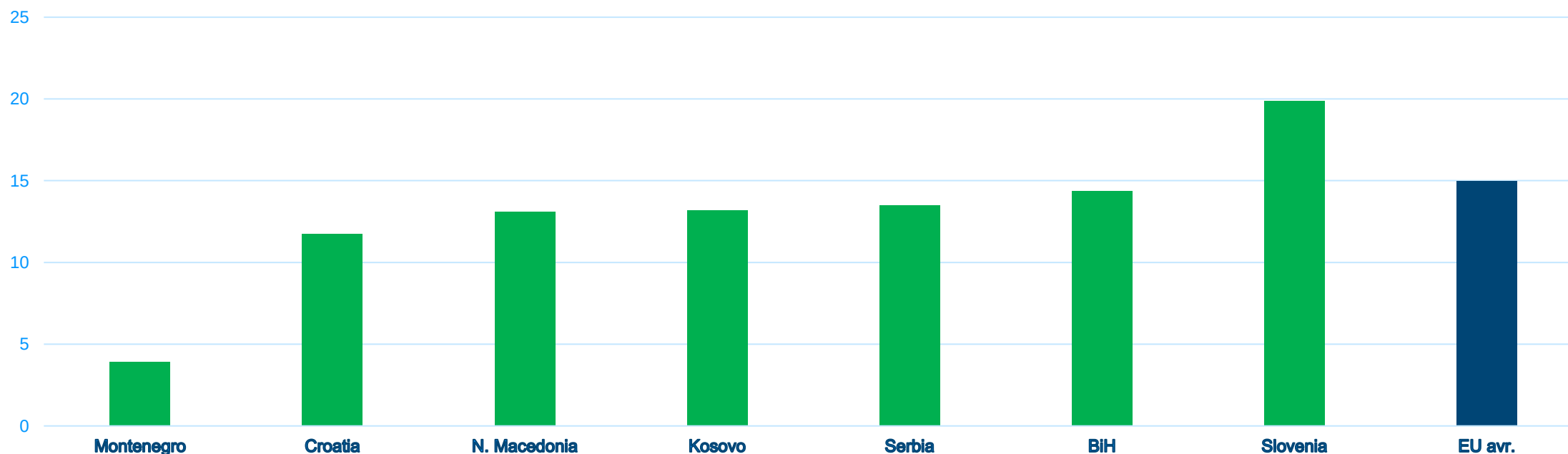
Structure of FDI → Contributed to a ***strong process of deindustrialization***

- **Serbia** went through an extreme process of deindustrialisation (1990s), its industry recovered marginally after 2001 → Industrial production in 2008: 51% of 1990 level
- **Croatia** (1995-2018): Industry value added fell from 27% to 21.1%, manufacturing from 17% to 11.9%
- **Other countries**: Even more deindustrialized
- **Slovenia** (by contrast) (1995-2018): Industry value added fell only slightly (from 29.8% to 28.9%), manufacturing from 21.7% to 20.7% of total
- These features explain ***other economic weaknesses*** of most Yugoslav successor states:
 - Limited impact of FDI on ***restructuring and modernisation*** of key industrial sectors
 - Relatively low contribution of FDI to ***strengthening export capacity*** & integration into world markets (still low exports/GDP ratios)

Deindustrialisation: Slovenia Vs. other countries

Only Slovenia maintained a strong industrial base (like some CEE countries)

Manufacturing value added (% of GDP), 2022



... impact on investment and growth

- ***Donors assistance:*** Uncoordinated financial aid & policy advice by multiple international agents, each having its own specific agenda and offered at highly conditional terms → Application of very different institutional solutions, often not compatible with existing ones
- Recent evidence: dominant motivation of EU member states' financial aid in WBs are commercial interests based on market opportunities, NOT altruistic interests based on economic & social need, or support for democracy (Bartlett, 2023)
- ***Workers' remittances:*** Important supplement to domestic savings, but have not been used for productive investments that can contribute to economic growth, rather (most frequently) gone into consumption (family support, houses)

... impact on investment and growth

- ***Domestic investments (public & private sector)***
- Ample evidence that government policies have not been very effective to support investment, esp. in priority sectors (Randelović and Đorđević (2024) offer new evidence on Serbia's unfavourable structure of investment)

Important role of the government & government agencies!

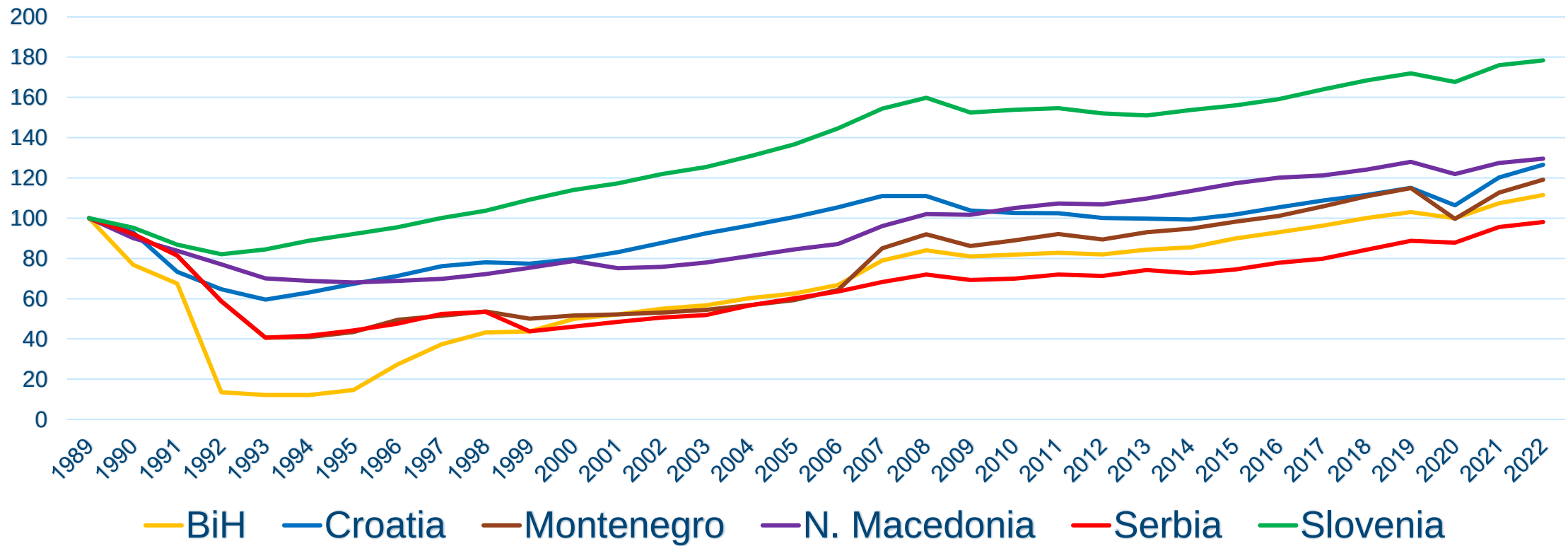
- Countries need a more diversified industrial policy, more targeted towards national priorities
 - + Promote local investment, sustain new initiatives, private entrepreneurs, domestic SMEs ...
- Facilitate structural changes towards higher value-added and higher productivity sectors ... fundamental for faster economic growth and development

... impact on investment and growth

Consequences for economic growth?

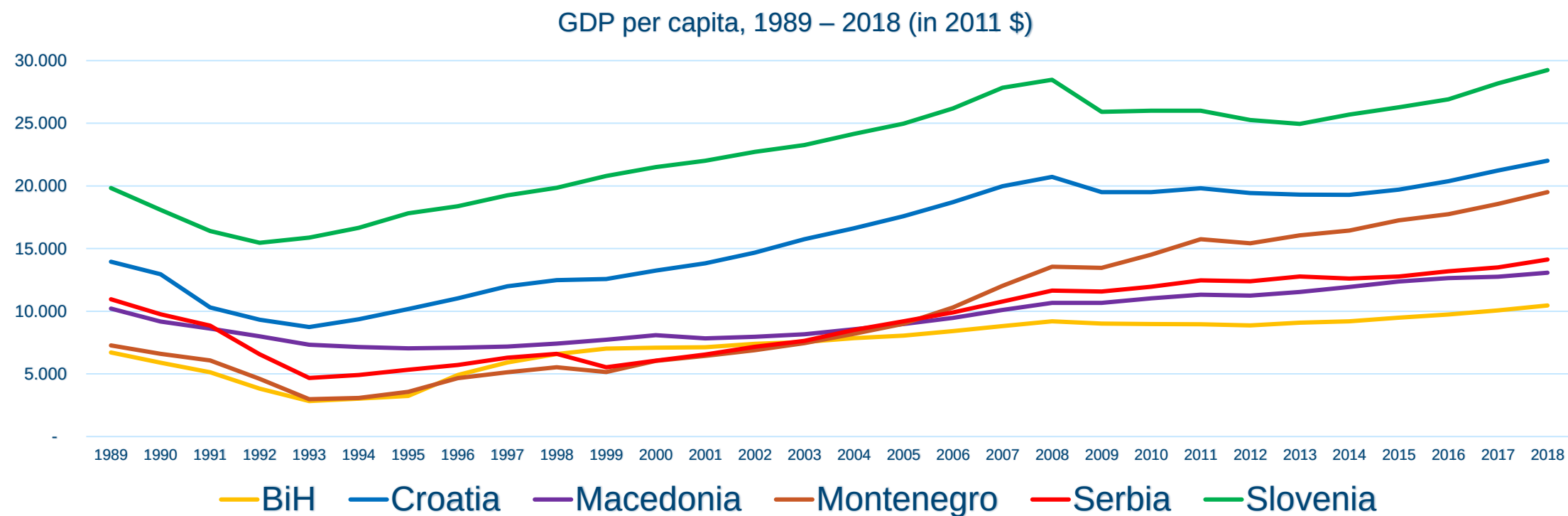
- Growth performance of most Yugoslav successor states has not been impressive
- **1990s (*political & economic instability*)**: Multiple recessions ...“lost” decade
- **2001- 2008**: Improved political climate → Strong economic growth... until the global financial crisis
- **2009 - 2023**: Recessions/lower growth rates → Reversals in growth recovery, despite strong post-COVID recovery
→ *Relatively poor long-term growth record, except for part of the 2000s*

Recovery of pre-transition real GDP(1989=100): First by Slovenia: 1997, Croatia: 2005, N. Macedonia: 2008, Montenegro: 2016, BiH & Serbia only recently (Source: EBRD, IMF)



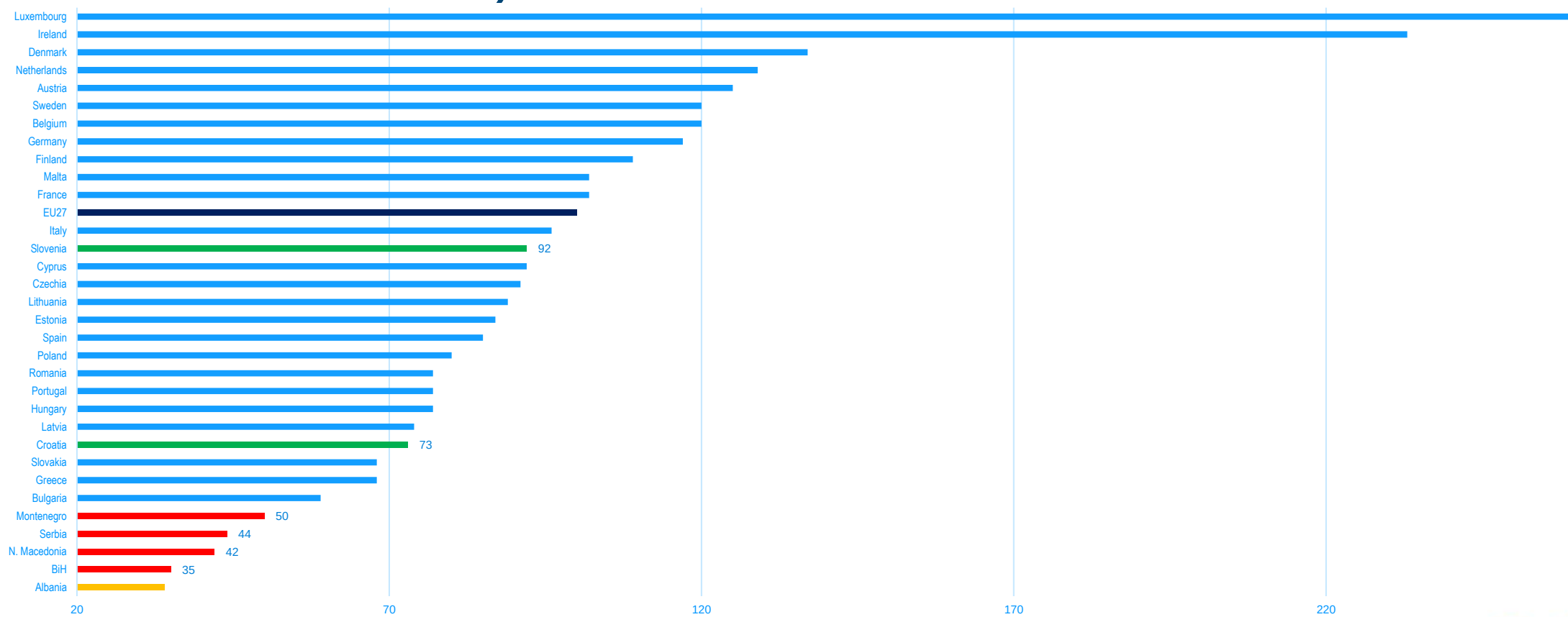
Pre-transition GDP per capita (1989)

Surpassed 1st by Slovenia (1998), BiH (1999), Croatia (2002), Montenegro (2003), Macedonia (2008), Serbia (2008) (Madisson data base 2022)



GDP per capita with respect to EU avr. (EU27=100) in 2022

→ Slovenia: 92%, Croatia : 73%, other countries 35 – 50% of GDP/cap of EU (without Kosovo: estimated at 28%)



4. Concluding remarks

33 years since SFRY's break-up → Enormous economic divergence among its successor states

- ***Most Yugoslav successor states***: Radical break from the previous system, dismantling the legacies of socialism & self-management, adopting a neoliberal model of capitalism
- Extremely unfavourable conditions in the 1990s + Failure to strengthen key institutions brought many undesirable economic & social consequences → Collusion of political and economic elites, state capture, clientelism...
- *Systemic change → Detrimental for economic growth, integration into world markets, welfare, inequality...*
- ***Slovenia***: Much more successful, a model based on gradualism and continuity, building on inherited systemic features, preserving some advantages of previous system
- (BUT: political stability!)

Concluding remarks

- **How do we explain the divergent tendencies** of Yugoslav successor states?
- (1) **Initial economic conditions:** Level of development, economic structure, trade ...
- (2) **Political conditions:** Stability Vs. Conflicts & unresolved statehood issues
- (3) **Policies & institutions:** Continuity, building on existing legacies Vs. Rupture with previous institutions
(... that can easily lead to lower-quality institutions and worse solutions)
- (4) **EU policies:** Generous support to CEE (incl. Slovenia) from mid-1990s Vs. Strict conditionality towards the other countries
- **EU membership? Croatia** paid a high price for events in 1990s! Croatia's GDP per capita was **89%** of Slovenia's in 1990, it fell to **61,5%** by 1993; differences even greater today → Croatia has lost its relative position & competitiveness compared to CEE EU member states (Babić & Lučev, 2019)
- Yet EU membership can help! After entering the EU (2013) Croatia has benefitted from EU funding + conformity with EU norms & regulations → Positive for institutional change

Concluding remarks

- **Recommendation for the other countries?**
- Despite the current multiple crises in the EU, perhaps it would be beneficial for the remaining countries of former Yugoslavia to join the EU as soon as possible
- EU may be able to provide at least some checks and balances on economic policies of governments

→ My newest edited book (2023)

